a single market are pooled together so every lender earns the same variable rate, and every borrower pays the same variable rate. The concept of a credit rating is irrelevant, and because Ethereum accounts are pseudonymous, enforcing repayment in the event of a loan default is virtually impossible. For this reason, all loans are overcollateralized in a collateral asset different from the one being borrowed. If a borrower fall below their collateralization ratio, their position is liquidated to pay back their debt. The debt can be liquidated by a keeper, similar to the process used in MakerDAO vaults. The keeper receives a bonus incentive for each unit of debt they close out.

The collateralization ratio is calculated via a *collateral factor*. Each ERC-20 asset on the platform has its own collateral factor ranging from 0 to 90 percent. A collateral factor of zero means an asset cannot be used as collateral. The required collateralization ratio for a single collateral type is calculated as 100 divided by the collateral factor. Volatile assets generally have lower collateral factors, which mandate higher collateralization ratios due to increased risk of a price movement that could lead to undercollateralization. An account can use multiple collateral types at once, in which case the collateralization ratio is calculated as 100 divided by the weighted average of the collateral types by their relative sizes (denominated in a common currency) in the portfolio.

The collateralization ratio is similar to a reserve multiplier in traditional banking, constraining the amount of